UPFRONT

GLASSHOUSE: AKHILESH'S TEMPLE RUN *PG 14*

HEALTHWATCH: A SHOT AGAINST DENGUE *PG 15*

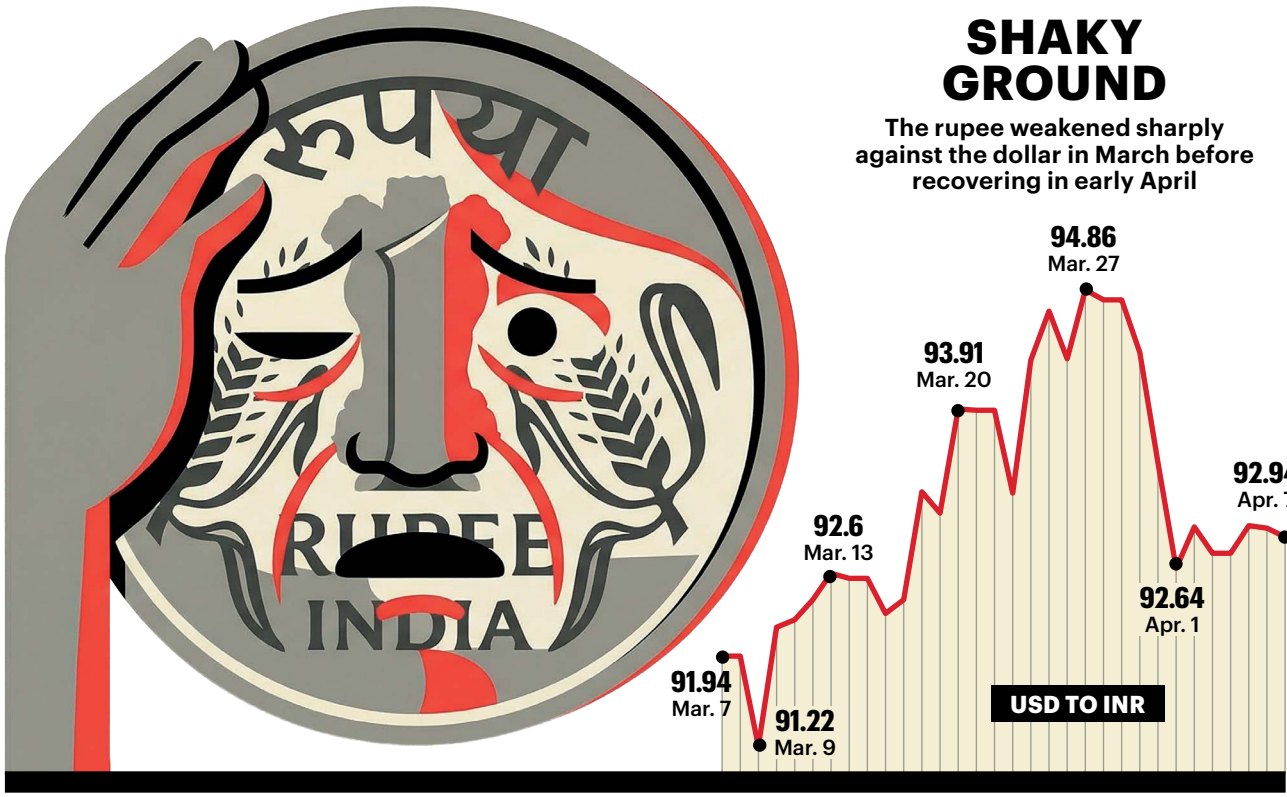


Illustration by **NILANJAN DAS**

▶ ECONOMY

RUPEE ON A ROLLER COASTER

DESPITE RBI'S INTERVENTIONS, THE INDIAN CURRENCY REMAINS VULNERABLE TO OIL SHOCKS, CAPITAL OUTFLOWS AND GLOBAL UNCERTAINTY, SUGGESTING ANY RECOVERY MAY BE SHORT-LIVED

By M.G. ARUN and ANILESH S. MAHAJAN

A WEAK RUPEE IS BECOMING THE NEW NORMAL. A two-week ceasefire in the war with Iran, announced by US president Donald Trump on April 8, coupled with an earlier unorthodox intervention by the Reserve Bank of India, may have stemmed the currency's free fall, steadying it near 92.5 to the dollar, but its recent decline—even before the conflict—has raised concerns. The rupee had earlier slid past 95 on March 30—a record low—sending tremors through the economy, with forecasts of a fall to 100 or beyond, as the war entered its second month.

Meanwhile, on April 8, RBI governor Sanjay Malhotra said that the war "poses an unprecedented challenge for the global economy—higher prices and slower growth", as the Monetary Policy Committee (MPC) kept interest rates unchanged amid concerns over rising inflation. Much of that inflationary risk is transmitted through a weakening currency. A weaker rupee raises import costs for a country that relies on imports for 85 per cent of its crude oil, nearly 60 per